



## AGENDA BILL

Agenda Item No. 9.A.

**Date:** February 4, 2025  
**To:** El Cerrito City Council  
**From:** Crystal Reams, Finance Director/City Treasurer, Finance Department  
**Subject:** FY 2024-25 Second Quarter General Fund Budget Quarterly Update through December 2024

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### ACTION PROPOSED

Receive and file an update on City General Fund revenues and expenses for FY 2024-25 through December 2024.

### BACKGROUND AND ANALYSIS

The El Cerrito City Council adopted an annual Budget for FY 2024-25 on June 18, 2024, as part of the FY 2024-25 and 2025-26 Biennial Budget. The Council has closely monitored the City's budget and financial position and directed City staff to submit quarterly General Fund financial update reports.

The General Fund Update (Attachment 1) includes information on revenues and expenditures and lists the year-to-date totals by classification and by department. This report summarizes the major General Fund revenue and expenditure categories through December 31, 2024 on a cash basis (excluding the pre-payment of the City's UAL) and includes comparisons to the prior year's actuals. Similar to the second quarter reports from prior fiscal years, revenue cycles for many revenue sources - including property taxes - occur in the second, third and fourth quarters of the fiscal year. Consequently, revenue receipts are not realized in equal quarterly amounts.

The following are FY 2024-25 highlights occurring for the report period of July 1, 2024, through December 31, 2024, and reflect preliminary unaudited cash basis information:

1. Total revenue was \$22.4 million, approximately 44% of the adopted FY 2024-25 budget. As a reminder, property taxes are the City's largest income category and are received in December and April each year. The majority of revenues are non-departmental, as they are general and not allocated to one department.
2. Real property transfer taxes collected through November (cash basis) are \$1.1 million which is 38% of the adopted FY 2024-25 budget. This is in line with what was collected in the second quarter of FY 2023-24 at 39% of the adopted budget.
3. Total expenditures were \$26.7 million, approximately 51% of the adopted budget, which is slightly lower than the 52% from the second quarter of FY 2023-24. The annual premium for workers' compensation, which was previously paid in two installments, was paid in one installment for FY 2023-24.

4. Personnel costs of \$19.7 million include all personnel related costs. Personnel is the largest component of General Fund expenditures (73%). Currently, the City has a 8.55% vacancy rate.

### **STRATEGIC PLAN CONSIDERATIONS**

This report is consistent with the City's Strategic Plan Goal High-Performing Organization: Ensure the City maintains a strong financial position – and will allow the City Manager to develop a plan to ensure that Citywide revenue meets the cost of providing Citywide services, including adequate reserves in the face of significant unanticipated revenue shortfalls. It further ensures procedures that represent best practices in financial management.

### **ENVIRONMENTAL CONSIDERATIONS**

This section is not applicable to this agenda item.

### **FINANCIAL CONSIDERATIONS**

The unaudited FY 2024-25 General Fund Second Quarter Update reflects revenues totaling \$22.4 million (44% of budget), and expenditures at a total of \$26.7 million (51% of budget). The projected unaudited year-end total fund balance is estimated to be \$21.9 million; this includes \$9 million designated for the EDRF and \$1.37 million in the Section 115 Trust.

### **LEGAL CONSIDERATIONS**

This section is not applicable to this agenda item.

### **Reviewed by:**



Karen Pinkos, City Manager

### **Attachments:**

1. FY 2024-25 2nd Quarter General Fund Update



## General Fund Budget Update

Quarter 2 FY 2024-25

10/01/24 – 12/31/2025

### INTRODUCTION

The City of El Cerrito is pleased to submit the Quarter 2 FY 2024-25 General Fund Budget Update, for the period 10/01/24 through 12/31/24. The report provides a high-level overview of the City's status on the budget, with expenditures by department, showing unaudited actuals.

### GENERAL FUND REVENUES

FY 2024-25 General Fund revenue is budgeted at \$51.4 million. Table 1 shows the year-to-date revenues by classification, and Table 2 shows the year-to-date revenues by department. As of December 31, 2024, tax revenues are at 38% of budget, which is 5% lower than the second quarter of FY24. Property tax and Franchise tax are slightly under when compared to the prior quarter 2 actuals. Real Property Transfer tax (through November) is up over 17% when compared to the prior quarter 2 actuals. Overall General Fund Revenues for Quarter 2 are at 44% of the total FY 2024-25 Adopted Budget, which is in line with the 43% received for Quarter 2 FY 2023-24.

Table 1 reflects real property transfer taxes through November, as December funds (totaling \$313,983) were received in January and will be reflected in the FY 2024-25 third quarter update. Adding the December real property transfer tax funds to the Quarter 2 revenue actuals results in year-to-date revenue of \$1,456,789 or 49% of the Adopted Budget. Property transfer taxes are trending as expected. Staff will continue to monitor revenue streams closely and will report back to the City Council as necessary.

Table 1  
General Fund Revenue – Classification  
Quarter 2

| Classification                 | Budget Amount       | YTD – Q2 Actuals    | % of Budget | Prior YTD – Q2 Actuals |
|--------------------------------|---------------------|---------------------|-------------|------------------------|
| Property Taxes                 | \$16,461,935        | \$6,229,490         | 38%         | \$5,993,855            |
| Sales Taxes                    | 4,517,790           | 1,490,431           | 33%         | 1,400,263              |
| Transient Occupancy Taxes      | 100,000             | 32,058              | 32%         | 25,353                 |
| Measure R Sales Tax            | 4,459,000           | 1,393,404           | 31%         | 1,366,271              |
| Franchise Taxes                | 1,380,000           | 378,026             | 27%         | 619,999                |
| Business License Taxes         | 1,182,817           | 1,091,059           | 92%         | 1,027,522              |
| Property Transfer Taxes        | 3,000,000           | 1,142,806           | 38%         | 891,844                |
| Utility Users' Taxes           | 3,694,260           | 1,405,934           | 38%         | 1,374,064              |
| Other Taxes                    | 1,500               | -                   | 0%          | 1,769                  |
| <b>Taxes Totals</b>            | <b>\$34,797,302</b> | <b>\$13,163,208</b> | <b>38%</b>  | <b>\$12,700,940</b>    |
| Licenses & Permits             | 1,007,000           | 847,094             | 84%         | 701,895                |
| Fines & Forfeitures            | 130,000             | 82,035              | 63%         | 98,232                 |
| Use of Money and Property      | 957,000             | 277,563             | 29%         | 344,411                |
| Intergovernmental Revenues     | 5,334,401           | 2,748,080           | 52%         | 1,800,337              |
| Charges for Services Totals    | 7,528,702           | 4,592,047           | 61%         | 4,503,760              |
| Other Revenue Totals           | 630,000             | 174,578             | 28%         | 233,291                |
| Other Financing Sources Totals | 1,002,039           | 501,020             | 50%         | 488,591                |
| <b>Totals</b>                  | <b>\$51,386,444</b> | <b>\$22,385,625</b> | <b>44%</b>  | <b>\$20,871,457</b>    |

Table 2  
General Fund Revenues – Department  
Quarter 2

| Revenue               | Budget Amount       | YTD – Q2<br>Actuals | % of<br>Budget | Prior YTD – Q2<br>Actuals |
|-----------------------|---------------------|---------------------|----------------|---------------------------|
| Administration        | \$11,500            | \$10,468            | 91%            | \$5,988                   |
| Community Development | 2,517,396           | 1,712,862           | 68%            | 1,790,697                 |
| Fire                  | 5,384,101           | 2,774,088           | 52%            | 1,820,520                 |
| Non-departmental      | 37,083,964          | 13,818,475          | 37%            | 13,483,306                |
| Police                | 186,000             | 116,013             | 62%            | 116,506                   |
| Public Works          | 599,132             | 241,593             | 40%            | 432,146                   |
| Recreation            | 5,604,351           | 3,712,126           | 66%            | 3,222,294                 |
| <b>Totals</b>         | <b>\$51,386,444</b> | <b>\$22,385,625</b> | <b>44%</b>     | <b>\$20,871,457</b>       |

### **GENERAL FUND - EXPENDITURES**

General Fund expenditure budgets have been amended to \$52.3 million for FY 2024-25. Tables 3 and 4 show the expenditures year-to-date by classification and by department, respectively. Departments are on track for Quarter 2 at 51% of budgeted expenditures. This is slightly below the Quarter 2 FY 2023-24 expenditures at 52%.

The City Council-approved budget amendments through December 31 include \$603,425 in purchase orders from FY 2023-24, the SEIU contract settlement of \$36,622, and the PEA & PSMA contract settlement of \$354,860. These amounts, netted with the original projected surplus of \$33,952, create a projected deficit of \$960,955.

As in previous fiscal years, Personnel is the largest component of General Fund expenditures (73%). Departments have continued to fill vacant positions, and we are now trending at 52% of budgeted expenditures. This is slightly higher than Quarter 2 FY 2023-24 at 51%.

The City has previously paid the annual workers compensation premium in two annual installments. This year the City paid the entire \$1 million premium at the beginning of the fiscal year which was allocated to departments as of the payment date; this increased expenditures by about \$500,000 compared to the prior fiscal year. In Table 3, the actual expenditures reflected in the “Other Purchased Services” classification includes the one-time full fiscal year’s annual insurance premiums which are paid each year in July; in Table 4 expenditures reflected for the Administration Department include the one-time full fiscal year’s annual payments. The City also pre-paid the CalPERS UAL contribution in full for FY 2024-25 at the beginning of the fiscal year. Since the UAL payment is significant in its amount of \$6.9 million, the City elected to record this as a pre-paid amount and an allocation is done monthly to show a more accurate representation for budget comparison, as this is how it was presented in previous fiscal years.

**Table 3**  
**General Fund Expenditures – Classification**  
**Quarter 2**

| <b>Classification</b>                       | <b>Budget Amount<br/>(Amended)</b> | <b>YTD – Q2<br/>Actuals</b> | <b>% of<br/>Budget</b> | <b>Prior YTD – Q2<br/>Actuals</b> |
|---------------------------------------------|------------------------------------|-----------------------------|------------------------|-----------------------------------|
| Personnel                                   | \$38,019,416                       | \$19,738,152                | 52%                    | 18,003,966                        |
| Purchased Professional & Technical Services | 5,298,500                          | 2,060,535                   | 39%                    | 2,652,663                         |
| Purchased Property Services                 | 2,258,877                          | 957,593                     | 42%                    | 948,360                           |
| Other Purchased Services                    | 3,859,771                          | 2,939,699                   | 76%                    | 2,553,970                         |
| Supplies                                    | 876,170                            | 344,096                     | 39%                    | 328,438                           |
| Property & Capital                          | 736,513                            | 103,425                     | 14%                    | 186,128                           |
| Financing Costs                             | \$539,822                          | \$175,952                   | 33%                    | \$300,190                         |
| Other Financing Uses                        | 758,329                            | 379,165                     | 50%                    | 291,382                           |
| <b>Totals</b>                               | <b>\$52,347,399</b>                | <b>\$26,698,616</b>         | <b>51%</b>             | <b>\$25,265,097</b>               |

**Table 4**  
**General Fund Expenditures – Department**  
**Quarter 2**

| <b>Expenditures</b>   | <b>Budget Amount<br/>(Amended)</b> | <b>YTD – Q2<br/>Actuals</b> | <b>% of<br/>Budget</b> | <b>Prior YTD – Q12<br/>Actuals</b> |
|-----------------------|------------------------------------|-----------------------------|------------------------|------------------------------------|
| Administration        | \$7,729,678                        | \$4,560,781                 | 59%                    | \$4,623,611                        |
| Community Development | \$4,133,728                        | 1,669,001                   | 40%                    | 2,097,631                          |
| Fire                  | \$15,338,246                       | 8,357,032                   | 54%                    | 7,028,537                          |
| Non-departmental      | \$882,691                          | 395,703                     | 45%                    | 445,272                            |
| Police                | \$15,052,742                       | 7,283,638                   | 48%                    | 6,751,421                          |
| Public Works          | \$2,481,847                        | 1,113,544                   | 45%                    | 1,235,471                          |
| Recreation            | \$6,728,467                        | 3,318,918                   | 49%                    | 3,083,154                          |
| <b>Total</b>          | <b>\$52,347,399</b>                | <b>\$26,698,616</b>         | <b>51%</b>             | <b>\$25,265,097</b>                |

### **GENERAL FUND BALANCE**

Fiscal Year 2023-24 has since been finalized, and the projected deficit of \$6.3 million has been updated to an actual deficit of \$250,147. The updated General Fund balance is \$22.89 million at the close of FY 2023-24. The City Council had approved various one-time expenditures for the purchase of buildings/land, deferred maintenance, and other one-time items. The one-time items were completed, but greater than anticipated revenues and the prudent acts of departments to minimize expenditures reduced the projected deficit by over \$6 million. Table 5 illustrates the updated projections for the General Fund balance. Taking into consideration the newly updated Comprehensive Financial Policy that updated the minimum General Fund Reserve amount from 10% to 17%, the City will need to have \$9.1 million in reserves, leaving just under \$2.3 million in discretionary spending for FY 2024-25.

Table 5  
General Fund Fund Balance  
Quarter 2

| Fund Balance Projection                         |                      |
|-------------------------------------------------|----------------------|
| <b>FY24 General Fund Fund Balance (actual)</b>  | <b>\$ 22,893,338</b> |
| EDRF                                            | (9,000,000)          |
| Section 115                                     | (1,372,890)          |
| Non-Spendable                                   | (126,751)            |
| <b>FY24 Unrestricted Fund Balance</b>           | <b>12,393,697</b>    |
|                                                 |                      |
| FY25 Projected Deficit                          | (960,955)            |
|                                                 |                      |
| <b>Projected Total FY25 Fund Balance</b>        | <b>21,932,383</b>    |
| EDRF (Internally Restricted)                    | (9,000,000)          |
| Section 115 (Restricted)                        | (1,372,890)          |
| Non-Spendable                                   | (126,751)            |
| <b>Projected FY25 Unrestricted Fund Balance</b> | <b>11,432,742</b>    |
|                                                 |                      |
| FY26 Expenditure Proposed Budget                | 53,764,017           |
| FY26 17% Reserve Goal                           | 9,139,883            |
|                                                 |                      |
| Projected discretionary for FY25 midyear        | 2,292,860            |
|                                                 |                      |
| <b>FY 25 Projected Ending Total GF FB</b>       | <b>\$ 21,932,383</b> |

### **CONCLUSION**

The City of El Cerrito is currently on track to meet our FY 2024-25 budget goals. Revenues are not received in equal quarterly releases, primarily due to the biannual funding cycle (December and April) for property taxes. Expenditures are on track, with departments spending approximately 51% of their annual budget in Quarter 2.

Staff will be working with departments to bring any necessary adjustments to the Mid-year budget presentation on March 4, 2025.